87 Amendment 87: Graduated Income Tax

Placed on the ballot by citizen initiative • Passes with a majority vote

Ballot Title

SHALL STATE TAXES BE INCREASED $2.7 BILLION ANNUALLY, IN ORDER TO INCREASE OR IMPROVE LEVELS OF PUBLIC SERVICES, INCLUDING K-12 PUBLIC SCHOOL EDUCATION, HEALTH CARE, AND EARLY CHILD CARE AND EDUCATION SERVICES, BY AN AMENDMENT TO THE COLORADO CONSTITUTION AND A CHANGE TO THE COLORADO REVISED STATUTES REPEALING EXISTING LAW AND CREATING NEW LAW TO REPLACE THE UNIFORM STATE INCOME TAX RATE WITH A GRADUATED INCOME TAX STRUCTURE, AND, IN CONNECTION THEREWITH, AMENDING THE TAXPAYER'S BILL OF RIGHTS TO ELIMINATE THE CONSTITUTIONAL REQUIREMENT FOR ALL TAXABLE NET INCOME TO BE TAXED AT ONE RATE WITH NO ADDED TAX ON INCOME; ESTABLISHING VARIOUS INCOME TAX RATES BASED ON THE AMOUNT OF TAXABLE INCOME EARNED BY INDIVIDUALS, ESTATES, TRUSTS, AND CORPORATIONS, WHILE MAINTAINING THE CURRENT 4.4% TAX ON INCOME FROM THE SALE OF A PRINCIPAL RESIDENCE, WHICH WILL RESULT IN THE ESTIMATED CHANGE IN INCOME TAXES OWED BY INDIVIDUALS AS IDENTIFIED IN THE FOLLOWING TABLE; AND AUTHORIZING THE STATE TO RETAIN AND SPEND ANY INCREASED REVENUE FROM THE NEW TAX STRUCTURE, AS A VOTER-APPROVED REVENUE CHANGE, TO SUPPLEMENT CURRENT LEVELS OF FUNDING FOR K-12 PUBLIC SCHOOL EDUCATION, HEALTH CARE, AND EARLY CHILD CARE AND EDUCATION PROGRAMS?

Amendment 87
Change in Income Taxes Owed by Income Category

Income Categories	Current Average Income Tax Owed	Proposed Average Income Tax Owed	Proposed Change in Average Income Tax Owed if Passed + or -
$25,000 or less	$59	$50	-$9
$25,001 - $50,000	$751	$632	-$119
$50,001 - $100,000	$1,877	$1,666	-$210
$100,001 - $200,000	$4,126	$3,828	-$298
$200,001 - $500,000	$9,344	$9,019	-$325
$500,001 - $1,000,000	$19,288	$18,963	-$325
$1,000,001 - $2,000,000	$29,432	$34,196	+$4,764
$2,000,001 - $5,000,000	$41,196	$55,110	+$13,914

Income categories use adjusted gross income reported to the federal Internal Revenue Service.

What Your Vote Means

YES A "yes" vote on Amendment 87 creates a graduated state income tax that increases revenue; uses the additional money for K-12 education, health care, and early childhood care and education; and exempts additional revenue collected from the state's constitutional revenue limit.

NO A "no" vote on Amendment 87 keeps the current constitutional requirement for a flat state income tax rate.

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Amendment 87 proposes amending the Colorado Constitution and Colorado statutes to:

- remove the constitutional requirement that the state income tax be set at a single flat rate;
- replace the current flat income tax with a graduated state income tax that sets lower rates for lower incomes and higher rates for higher incomes;
- spend the additional revenue collected from these income tax rate changes on K-12 education, health care, and early childhood care and education; and
- exempt additional revenue collected under the measure from the state's constitutional revenue limit.

What Your Vote Means

YES A "yes" vote on Amendment 87 creates a graduated state income tax that increases revenue; uses the additional money for K-12 education, health care, and early childhood care and education; and exempts additional revenue collected from the state's constitutional revenue limit.

NO A "no" vote on Amendment 87 keeps the current constitutional requirement for a flat state income tax rate.

Summary and Analysis of Amendment 87

What does Amendment 87 do?

The measure replaces the state's current flat income tax rate for individuals and businesses with a graduated income tax that lowers taxes for taxable income below $500,000 and raises taxes for taxable income above $500,000. It requires that the additional money collected from this change be spent on K-12 education, health care, and early childhood care and education, and exempts this money from the state's constitutional revenue limit, also known as the Taxpayer's Bill of Rights (TABOR) limit. The state must produce an audited annual report on how much additional revenue was collected and how it was spent.

What is the state's current income tax structure?

Since 1987, Colorado has had a flat income tax rate, in which all taxpayers, including individuals and businesses, pay the same income tax rate on their income. The state's current flat income tax rate is 4.4 percent. The majority of state income tax revenue is used for general state programs and services. The TABOR amendment in the state constitution requires that income be taxed at a flat rate.

Income tax is paid on a portion of a household's or business's income, which is called taxable income. For example, a married couple earning $42,000 in income per year may have about $10,000 in taxable income and owe $440 in taxes annually. A married couple earning $130,000 in income per year may have about $100,000 in taxable income and owe $4,400 in taxes annually.

What is the graduated income tax structure proposed in Amendment 87?

Amendment 87 removes the constitutional requirement that income be taxed at a flat rate and creates a graduated income tax starting in 2027. In this graduated tax system, an individual's or business's income is split into six ranges—called brackets—with the lowest income tax bracket taxed at the lowest rate and each higher bracket taxed at increasing rates, as shown in Table 1.

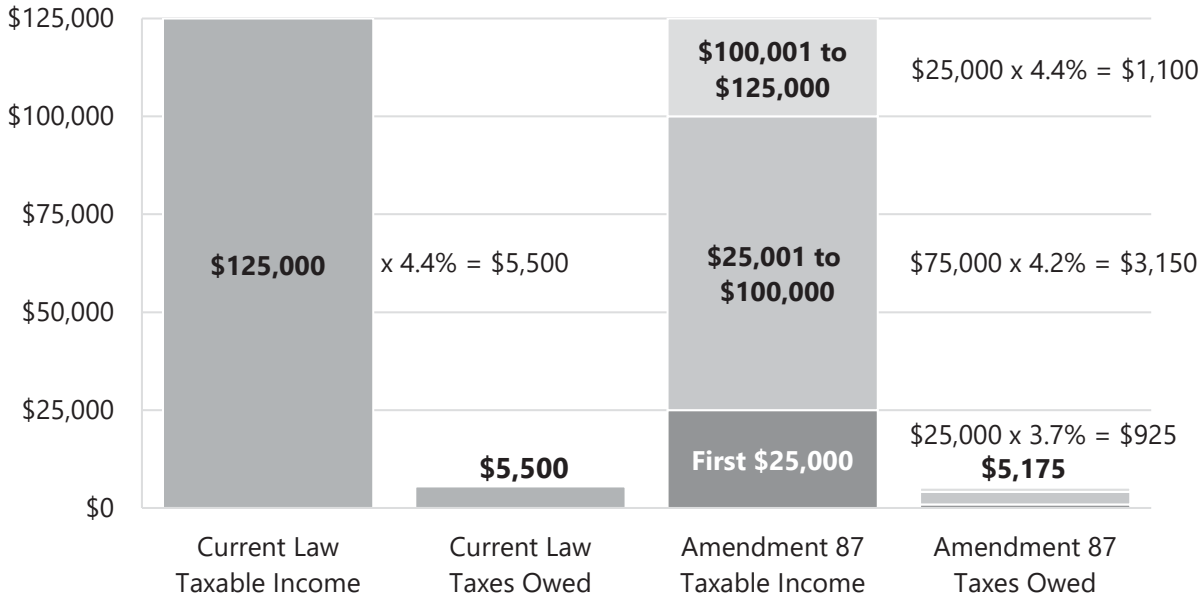
This is similar to how the federal income tax works. Unlike the federal income tax, the new state income tax brackets are not adjusted for inflation, so more of taxpayers' incomes will fall into the higher brackets over time. Each tax rate is only applied to the portion of taxable income that falls into that bracket.

Table 1
Graduated Income Tax Rates by Income Bracket Under Amendment 87

Taxable Income Bracket	Current Tax Rate	Amendment 87 Tax Rate	Difference
$25,000 or less	4.4%	3.7%	-0.7
$25,001 to $100,000	4.4%	4.2%	-0.2
$100,001 to $500,000	4.4%	4.4%	0.0
$500,001 to $750,000	4.4%	7.4%	+3.0
$750,001 to $1,000,000	4.4%	7.9%	+3.5
More than $1,000,000	4.4%	8.4%	+4.0

For example, as shown in Figure 1 below, an individual or business earning $125,000 a year in taxable income is taxed at a rate of 3.7 percent for the first $25,000. The next portion of taxable income between $25,000 and $100,000 is taxed at a rate of 4.2 percent. The remaining $25,000 is taxed at the rate of 4.4 percent. The total tax owed under the measure would be $5,175, or $325 less than the $5,500 they would owe under current law.

Figure 1
Tax Rates and Taxes Owed for a Taxpayer with $125,000 in Taxable Income



How does Amendment 87 change the amount of taxes owed?

For individuals and businesses with taxable incomes of less than $500,000, the measure decreases the amount of income taxes owed, up to a maximum reduction of $325 per taxpayer. For taxpayers with incomes of about $500,000 and above, the measure increases the amount of income taxes owed.

Table 2 shows an example of taxes owed under the measure and under current law for seven hypothetical taxpayers with different levels of taxable income.

Table 2
Taxes Owed Under Current Law and Amendment 87

Example Taxable Income	Current Income Tax Owed	Amendment 87 Income Tax Owed	Difference in Income Tax Owed
$25,000	$1,100	$925	-$175
$62,500	$2,750	$2,500	-$250
$125,000	$5,500	$5,175	-$325
$300,000	$13,200	$12,875	-$325
$550,000	$24,200	$25,375	+$1,175
$625,000	$27,500	$30,925	+$3,425
$875,000	$38,500	$50,050	+$11,550
$2,000,000	$88,000	$143,925	+$55,925

How does Amendment 87 change state revenue?

By changing tax rates for individuals and businesses, Amendment 87 is expected to increase state income tax revenue by an estimated $2 billion in the first full year and more in later years. However, actual revenue collections may be more or less than this estimate depending on economic conditions and other factors.

The change in state revenue under the measure is calculated as the difference between the actual income tax revenue collected under the measure's graduated income tax rates and the income tax revenue that would have been collected under the state's current rate of 4.4 percent. See the Fiscal Impact section below for additional detail.

Does Amendment 87 impact TABOR refunds?

The measure has no impact on current TABOR refunds or TABOR refund mechanisms. Under current law, the state is expected to collect $15 billion in income tax revenue in 2028. Under this measure, it is expected to collect $2 billion more in income tax revenue, for a total of $17 billion. The additional $2 billion is exempt from the TABOR limit. The TABOR limit and the amount of revenue subject to the limit remain the same, and estimated TABOR refunds will not change. For additional information, see the LCS memorandum titled, "A Brief Overview of the TABOR Revenue Limit."[1]

How will the additional revenue be spent?

The increased revenue collected under Amendment 87 must be spent on K-12 education, health care, and early childhood care and education. It must add to, and not replace, spending on those services. The state legislature will decide what specific programs will receive additional funding and how much.

What happens if Amendment 87 and Proposition 136 both pass?

Proposition 136 limits the state income tax rate at the current law rate of 4.4 percent. If both Amendment 87 and Proposition 136 are approved by voters, the proposed tax rates for income over $500,000 in Amendment 87 would be higher than the 4.4 percent limit in Proposition 136.

Generally, when parts of voter-approved measures conflict, the policy outcome is determined by the measure that received more votes. However, if both measures are approved by voters, the exact outcome is unclear. The state legislature or a court will need to determine how to resolve any conflicts.

Arguments For Amendment 87

1) Amendment 87 cuts taxes for 97 percent of taxpayers, including most households and small businesses, while increasing taxes only for top earners who have the ability to pay. A graduated income tax is more equitable than a flat tax because it recognizes a fundamental economic reality: each dollar taxed on someone earning $30,000 imposes a far greater hardship than each dollar taxed on someone earning $1 million. By aligning tax rates with taxpayers' financial means, a graduated tax distributes the burden more justly across all income levels, lowers taxes for most

[1] Online at: leg.colorado.gov/bluebook

households and small businesses, and puts more money in the hands of working families who will spend it in their local communities.

2) The measure funds critical services at a time when additional funding is desperately needed. Crucial programs are at risk of further cuts because of changes in federal policy. Revenue from the graduated tax will fund education, health care, and child care, public services that many Colorado households rely on. Colorado public schools are significantly underfunded, and constraints on the state budget make Medicaid cuts increasingly likely. Additional funding will provide more security for the people who depend on these services.

3) The graduated income tax is not an experiment, but a proven approach for funding essential public services. The federal government and 27 other states already have a graduated income tax. This tax structure lessens rising wealth inequality and increases funding for state programs. Sales and property taxes place greater burdens on lower-income households, and a graduated income tax corrects for this inequity while also funding services for all Coloradans.

Arguments Against Amendment 87

1) The measure is a multibillion-dollar tax increase, and hiking taxes on higher incomes will harm Colorado's economy. Higher tax rates make Colorado a less competitive place to start and grow a business, and may encourage some high earners to leave the state entirely. When businesses and high-earning individuals relocate, people at all income levels may lose their jobs. Further, because the brackets do not increase with inflation, more and more taxpayers will pay these higher taxes each year. Colorado cannot risk employers and jobs fleeing the state because our taxes are too high. Keeping taxes competitive for everyone fuels economic activity and builds a stronger, more prosperous Colorado for all.

2) The measure is an attack on the fair and predictable tax system that TABOR currently guarantees. The state's current flat tax is fair because everyone has equal access to state services, high-income earners already pay more taxes, and low-income earners qualify for more tax deductions and credits. The state should better prioritize the tens of billions of dollars it already collects, rather than switch to a new, complicated tax system.

3) The measure will permanently expand the size of government, increase careless and wasteful spending of taxpayer dollars, and hinder economic growth. Instead of spending billions of dollars more on broadly defined government services, state policy should focus on lowering taxes for everyone or funding specific programs that are proven to help Colorado's residents.

Information about the organizations supporting and opposing this measure is available on the Colorado Secretary of State's website:

www.coloradosos.gov/pubs/elections/Initiatives/ballot/contacts/2026.html

Fiscal Impact of Amendment 87

Taxpayer Impacts

Amendment 87 will decrease the amount of income tax owed by taxpayers with Colorado taxable income of less than $510,834 and increase the amount of income tax owed by taxpayers with Colorado taxable income of $510,834 and above. State law requires Legislative Council Staff to estimate the potential tax burden on affected taxpayers within specified federal adjusted gross income categories. Federal adjusted gross income is total income from all sources, with certain adjustments, as determined when filing federal income taxes. Colorado taxable income, calculated when filing state income taxes, is based on federal adjusted gross income with additional adjustments required or allowed under state law. Table 3 shows the expected change in tax burden by federal adjusted gross income category. The measure has no impact on current TABOR refunds or TABOR refund mechanisms.

Table 3
Estimated Impact on Taxpayers by Income

Income Category	Estimated Number of Taxpayers	Total Change in Tax Burden	Average Change in Tax Burden
$14,999 or less	579,309	-$638,951	-$1
$15,000 to $29,999	408,924	-$16,093,434	-$39
$30,000 to $39,999	272,616	-$29,611,480	-$109
$40,000 to $49,999	238,539	-$38,651,945	-$162
$50,000 to $69,999	443,000	-$85,925,358	-$194
$70,000 to $99,999	408,912	-$93,232,609	-$228
$100,000 to $149,999	408,912	-$115,554,178	-$283
$150,000 to $199,999	238,532	-$77,522,900	-$325
$200,000 to $249,000	102,228	-$33,224,100	-$325
$250,000 to $499,999	204,456	-$66,448,200	-$325
$500,000 to $999,999	55,900	-$15,893,609	-$284
$1,000,000 or more	46,328	$1,208,468,497	+$26,085

Income is federal adjusted gross income, not Colorado taxable income; therefore, the income ranges and tax rates do not align with those in Table 2. The estimated number of taxpayers column counts joint filers as one taxpayer. Estimates are based on Colorado Department of Revenue data for all residents for tax year 2023 and Legislative Council Staff estimates.

State Revenue

By replacing the state flat income tax with a graduated income tax, the measure increases revenue from income taxes by an estimated $958.4 million in budget year 2026-27, $1.972 billion in budget year 2027-28, and increasing amounts in future years based on income and population growth. The estimate for budget year 2026-27 represents a half-year impact for tax year 2027. The additional revenue will be credited to the Colorado Future's Account created in the measure. The increased revenue is exempt from TABOR as a voter-approved revenue change. The state budget year begins each July 1 and ends on June 30.

State law requires Legislative Council Staff to include an estimate of the maximum dollar amount of the change in state government revenue for the first full fiscal year of a proposed tax increase. This is the number that appears in the ballot question. The estimates in the previous paragraph represent the revenue impact of the measure under the current Legislative Council Staff revenue forecast. Based on forecast error that could occur, the maximum dollar amount of the change in state government revenue and fiscal year spending for budget year 2027-28 is estimated as an increase of $2.7 billion.

State Spending

The measure increases the amount of state revenue available to spend for the purposes identified in the measure, including K-12 education, health care, and early childhood care and education, in FY 2026-27 and future fiscal years. To administer the tax rate change, the measure is expected to increase one-time spending in the Department of Revenue by $98,000.

School District Revenue and Spending

The measure increases available state funding to school districts. The exact amount distributed to school districts will depend on decisions made by the General Assembly when allocating money from the Colorado Future's Account.

State Spending and Tax Increases

Article X, Section 20, of the Colorado Constitution requires that the following fiscal information be provided when a tax increase question is on the ballot:

- estimates or actual amounts of state fiscal year spending for the current year and each of the past four years with the overall percentage and dollar change; and
- for the first full year of the proposed tax increase, estimates of the maximum dollar amount of the tax increase and of fiscal year spending without the increase.

"Fiscal year spending" is a legal term in the Colorado Constitution. It equals the amount of revenue subject to the constitutional spending limit that the state or a district is permitted to keep and either spend or save for a single year. Table 4 shows state fiscal year spending for the current year and each of the past four years.

Table 4
State Fiscal Year Spending

Fiscal Year	Actual FY 2022-23	Actual FY 2023-24	Actual FY 2024-25	Actual FY 2025-26	Estimated FY 2026-27
Fiscal Year Spending	$16.66 billion	$18.07 billion	$19.15 billion	$19.84 billion	$20.50 billion

Four-Year Dollar Change in State Spending: $3.85 billion
Four-Year Percent Change in State Spending: 23.1 percent

Table 5 shows the maximum revenue expected from the income tax increase in Amendment 87 for FY 2027-28, the first full fiscal year for which the tax increase would be in place, and an estimate of state fiscal year spending without the tax increase.

Table 5
Estimated State Fiscal Year Spending and the Proposed Tax Revenue Increase

	FY 2027-28 Estimate
Fiscal Year Spending Without the Tax Increase	$24.62 billion
Revenue Increase from Increased Income Taxes	$2.7 billion



rules for such proceedings and for the production and presentation of supportive evidence for such plan. Any legal arguments concerning such plan must be submitted to the supreme court pursuant to the schedule established by the court.

(2) The supreme court shall approve the plan submitted unless it finds that the commission or nonpartisan staff, in the case of a staff plan submitted in the absence of a commission-approved plan, abused its discretion in applying or failing to apply the criteria listed in section 44.3 of this article V, in light of the record before the commission. The supreme court may consider any maps submitted to the commission in assessing whether the commission or nonpartisan staff, in the case of a staff plan submitted in the absence of a commission-approved plan, abused its discretion.

(3) if the supreme court determines that the submitted plan constitutes an abuse of discretion in applying or failing to apply the criteria listed in section 44.3 of this article v, in light of the record before the commission, the supreme court shall return the plan to the commission with the court's reasons for disapproval.

(4) (a) By November 1 of the redistricting year, the supreme court shall approve the plan submitted or return the plan to the commission.

(b) If the court returns the plan to the commission, the commission shall have twelve days to hold a commission hearing that includes public testimony and to return an adopted plan that resolves the court's reasons for disapproval.

(c) if the commission fails to adopt and return a plan to the court within twelve days, nonpartisan staff shall have an additional three days to prepare a plan that resolves the court's reasons for disapproval and return it to the court for approval.

(d) The supreme court shall review the revised plan in accordance with subsections (1), (2), and (3) of this section.

(5) The supreme court shall approve a plan for the redrawing of congressional districts no later than December 15 of the redistricting year. The court shall order that such plan be filed with the secretary of state no later than such date.

SECTION 8. In the constitution of the state of Colorado, article v, **repeal and reenact** section 44.6, as follows:

Section 44.6. Severability. If any provision of sections 44.1 through 44.5 of this article v is found by a court of competent jurisdiction to be unconstitutional, or if any application of these sections is found by such a court to be unconstitutional, such invalidity shall not affect other provisions or applications of the remaining provisions of these sections that can be given effect without the invalid provision or application. The provisions of sections 44.1 through 44.5 of this article V are deemed and declared severable.

Amendment 87
Graduated Income Tax

The ballot title below is a summary drafted by the professional staff of the offices of the secretary of state, the attorney general, and the legal staff for the general assembly for ballot purposes only. The ballot title will not appear in the Colorado constitution or Colorado Revised Statutes. The text of the measure that will appear in the Colorado constitution and Colorado Revised Statutes below was drafted by the proponents of the initiative. The initiated measure is included on the ballot as a proposed change to current law because the proponents gathered the required amount of petition signatures.

Ballot Title:

SHALL STATE TAXES BE INCREASED $2.7 BILLION ANNUALLY, IN ORDER TO INCREASE OR IMPROVE LEVELS OF PUBLIC SERVICES, INCLUDING K-12 PUBLIC SCHOOL EDUCATION, HEALTH CARE, AND EARLY CHILD CARE AND EDUCATION SERVICES, BY AN AMENDMENT TO THE COLORADO CONSTITUTION AND A CHANGE TO THE COLORADO REVISED STATUTES REPEALING EXISTING LAW AND CREATING NEW LAW TO REPLACE THE UNIFORM STATE INCOME TAX RATE WITH A GRADUATED INCOME TAX STRUCTURE, AND, IN CONNECTION THEREWITH, AMENDING THE TAXPAYER'S BILL OF RIGHTS TO ELIMINATE THE CONSTITUTIONAL REQUIREMENT FOR ALL TAXABLE NET INCOME TO BE TAXED AT ONE RATE WITH NO ADDED TAX ON INCOME; ESTABLISHING VARIOUS INCOME TAX RATES BASED ON THE AMOUNT OF TAXABLE INCOME EARNED BY INDIVIDUALS, ESTATES, TRUSTS, AND CORPORATIONS, WHILE MAINTAINING THE CURRENT 4.4% TAX ON INCOME FROM THE SALE OF A PRINCIPAL RESIDENCE, WHICH WILL RESULT IN THE ESTIMATED CHANGE IN INCOME TAXES OWED BY INDIVIDUALS AS IDENTIFIED IN THE FOLLOWING TABLE; AND AUTHORIZING THE STATE TO RETAIN AND SPEND ANY INCREASED REVENUE FROM THE NEW TAX STRUCTURE, AS A VOTER-APPROVED REVENUE CHANGE, TO SUPPLEMENT CURRENT LEVELS OF FUNDING FOR K-12 PUBLIC SCHOOL EDUCATION, HEALTH CARE, AND EARLY CHILD CARE AND EDUCATION PROGRAMS?

Amendment 87
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$2,000,001 - $5,000,000	$41,196	$55,110	+$13,914

Income categories use adjusted gross income reported to the federal Internal Revenue Service.

Text of Measure:
Be it Enacted by the People of the State of Colorado:
SECTION 1. Legislative Declaration
(1) The people of the state of Colorado find, determine, and declare that:
(a) Colorado taxpayers are entitled to a fair and equitable tax system that recognizes the affordability challenges facing working families, promotes a vibrant statewide economy, and adequately supports our public education, health care, and child care systems and other essential public services available to all Coloradans;
(b) Colorado's current flat income tax system, unlike the graduated income tax system at the federal level and in 27 other states, taxes millionaires and corporations at the same rate as regular working people;
(c) Combining state income, sales, and property taxes, the wealthiest 1% of Coloradans–those making over $850,000 per year–pay only 7% of their income in state and local taxes every year, whereas the 60% of Coloradans making between $25,000 and $150,000 per year pay between 9-10%.
(d) The 97% of Colorado taxpayers making less than $500,000 would benefit from a tax cut to help them afford the high cost of living;
(e) The Taxpayer's Bill of Rights, or the TABOR amendment, has significantly limited the ability of state and local governments to invest in supporting teachers and care workers, building infrastructure, and keeping up with a changing economy;
(f) TABOR can be amended to allow a graduated income tax without impacting TABOR refunds or the voters' right to approve any future tax increases;
(g) As demonstrated by recent state-commissioned adequacy studies, Colorado's public schools have been underfunded for decades, and despite the elimination of the Budget Stabilization Factor in 2024, teacher wage competitiveness is still 50th in the country.
(h) Health care in Colorado is too expensive, and the cuts in the federal budget bill are expected to exceed $2 billion per year by 2032, with rural hospitals and clinics facing the greatest risks for closing or limiting services; and
(i) Child care in Colorado is too expensive, making it harder for parents to work while raising their families, and yet wages are so low that 46 percent of early childhood workers in the state rely on social welfare programs like Medicaid and SNAP;
(2) The people of the state of Colorado find, therefore, that:
(a) A graduated income tax system will:
(I) Better support Colorado's children and families, working people, and older adults by cutting taxes for individuals and small businesses making less than $500,000 per year while only increasing taxes on individuals and corporations making more than $500,000 per year;
(II) Increase Colorado's ability to adequately invest in our public schools, health care, and child care systems and



programs to improve the affordability of health care and child care;
(b) A graduated income tax system will not:
(I) Change the Constitutional requirement that the state government cannot raise any tax rates without another vote of the people;
(II) Reduce or otherwise impact TABOR refunds, because any revenue raised from Colorado's current 4.4% flat income tax, 2.9% sales tax, and various other taxes and fees that exceeds the TABOR spending limit will be required to be refunded to taxpayers;
(c) All new revenue from graduated income tax that exceeds what would have otherwise been collected under Colorado's current tax rates will be transferred into the Colorado's Future Fund, with spending limited to the following purposes:
(I) Improving our public education system, increasing pay to attract and retain great teachers, reducing class sizes, supporting rural schools, and supporting affordable pathways to higher education and workforce training;
(II) Improving our health care system, making health care more affordable, replacing federal Medicaid funds that were cut by the federal budget bill, implementing new requirements in the federal budget bill, increasing access to mental and behavioral health care and primary care, supporting services for older adults and people with disabilities, increasing access to nutritious food, supporting our health care workforce, and supporting rural hospitals and clinics;
(III) Improving our early child care and education systems, helping families afford child care, and increasing pay to attract and retain great child care providers;
(d) New revenues are intended to supplement rather than supplant existing funding;
(e) Taxpayers will be able to monitor and assure responsible and effective usage of all new revenue based on the following requirements:
(I) The nonpartisan office of legislative council will produce an annual report on all spending of new revenue that will be accessible to the public in various formats including the general assembly's website with plain language descriptions and understandable data visualizations;
(II) The nonpartisan and independent office of the state auditor will annually audit this report and present findings to the Joint Budget Committee and the public;
SECTION 2 In the constitution of the state of Colorado, section 20 of article X, **amend** (8)(a) as follows:
(8) Revenue limits. (a) New or increased transfer tax rates on real property are prohibited. No new state real property tax or local district income tax shall be imposed. Neither an income tax rate increase nor a new state definition of taxable income shall apply before the next tax year. Any income tax law change after July 1, 1992 shall also require all taxable net income to be taxed ~~at one rate, excluding refund tax credits or voter-approved tax credits,~~ with no added ~~tax or~~ surcharge.
SECTION 3. In Colorado Revised Statutes, 39-22-104, **amend** (1.7)(c) and (2); and **add** (1.8) as follows:
39-22-104. Income tax imposed on individuals, estates, and trusts - report - tax preference performance statement - legislative declaration - definitions - repeal. (1.7)(c) Except as otherwise provided in section 39-22-627, subject to subsection (2) of this section, with respect to taxable years commencing on or after January 1, 2022, BUT BEFORE JANUARY 1, 2027, a tax of four and forty one-hundredths percent is imposed on the federal taxable income, as determined pursuant to section 63 of the internal revenue code, of every individual, estate, and trust.
(1.8)(a) EXCEPT AS OTHERWISE PROVIDED IN SECTION 39-22-627, SUBJECT TO SUBSECTION (2) OF THIS SECTION, WITH RESPECT TO TAXABLE YEARS COMMENCING ON OR AFTER JANUARY 1, 2027, A GRADUATED TAX IS IMPOSED ON FEDERAL TAXABLE INCOME, AS DETERMINED BY SECTION 63 OF THE INTERNAL REVENUE CODE, OF EVERY INDIVIDUAL, ESTATE, AND TRUST, AS FOLLOWS:
(I) FOR FEDERAL TAXABLE INCOME LESS THAN OR EQUAL TO TWENTY FIVE THOUSAND DOLLARS, THE TAX IS THREE AND SEVENTY ONE-HUNDREDTHS PERCENT;
(II) FOR FEDERAL TAXABLE INCOME GREATER THAN TWENTY FIVE THOUSAND DOLLARS BUT LESS THAN OR EQUAL TO ONE HUNDRED THOUSAND DOLLARS, THE TAX IS (A) THREE AND SEVENTY ONE-HUNDREDTHS PERCENT ON THE AMOUNT UP TO AND INCLUDING TWENTY FIVE THOUSAND DOLLARS AND (B) FOUR AND TWENTY ONE-HUNDREDTHS PERCENT ON THE AMOUNT GREATER THAN TWENTY FIVE THOUSAND DOLLARS BUT LESS THAN OR EQUAL TO ONE HUNDRED THOUSAND DOLLARS;
(III) FOR FEDERAL TAXABLE INCOME GREATER THAN ONE HUNDRED THOUSAND DOLLARS BUT LESS THAN OR EQUAL TO FIVE HUNDRED THOUSAND DOLLARS, THE TAX IS (A) THREE AND SEVENTY ONE-HUNDREDTHS PERCENT ON THE AMOUNT UP TO AND INCLUDING TWENTY FIVE THOUSAND DOLLARS, (B) FOUR AND TWENTY ONE-HUNDREDTHS PERCENT ON THE AMOUNT GREATER THAN TWENTY FIVE THOUSAND DOLLARS BUT LESS THAN OR EQUAL TO ONE HUNDRED THOUSAND DOLLARS, AND (C) FOUR AND FORTY ONE-HUNDREDTHS PERCENT ON THE AMOUNT GREATER THAN ONE HUNDRED THOUSAND DOLLARS;
(IV) FOR FEDERAL TAXABLE INCOME GREATER THAN FIVE HUNDRED THOUSAND DOLLARS BUT LESS THAN OR EQUAL TO SEVEN

hundred fifty thousand dollars, the tax is (A) three and seventy one-hundredths percent on the amount up to and including twenty five thousand dollars, (B) four and twenty one-hundredths percent on the amount greater than twenty five thousand dollars but less than or equal to one hundred thousand dollars, (C) four and forty one-hundredths percent on the amount greater than one hundred thousand dollars but less than or equal to five hundred thousand dollars, and (D) seven and forty one-hundredths percent on the amount greater than five hundred thousand dollars;

(V) For federal taxable income greater than seven hundred fifty thousand dollars but less than or equal to one million dollars, the tax is (A) three and seventy one-hundredths percent on the amount up to and including twenty five thousand dollars, (B) four and twenty one-hundredths percent on the amount greater than twenty five thousand dollars but less than or equal to one hundred thousand dollars, (C) four and forty one-hundredths percent on the amount greater than one hundred thousand dollars but less than or equal to five hundred thousand dollars, (D) seven and forty one-hundredths percent on the amount over five hundred thousand dollars but less than or equal to seven hundred fifty thousand dollars, and (E) seven and ninety one-hundredths percent on the amount over seven hundred fifty thousand dollars; and

(VI) For federal taxable income greater than one million dollars, the tax is (A) three and seventy one-hundredths percent on the amount up to and including twenty five thousand dollars, (B) four and twenty one-hundredths percent on the amount greater than twenty five thousand dollars but less than or equal to one hundred thousand dollars, (C) four and forty one-hundredths percent on the amount greater than one hundred thousand dollars but less than or equal to five hundred thousand dollars, (D) seven and forty one-hundredths percent on the amount greater than five hundred thousand dollars but less than or equal to seven hundred fifty thousand dollars, (E) seven and ninety one-hundredths percent on the amount greater than seven hundred fifty thousand dollars but less than or equal to one million dollars; and (F) eight and forty one-hundredths percent on the amount greater than one million dollars.

(b) For purposes of subsection (1.8)(a) of this section, taxable net income from the sale or exchange of a principal residence exceeding the amount excluded from federal taxable income under Section 121 of the Internal Revenue Code shall be subject to tax under this section at the rate of four and forty one-hundredths percent.

(2) Prior to the application of the rate of tax prescribed in subsection (1), (1.5), ~~or~~ (1.7), or (1.8) of this section, the federal taxable income shall be modified as provided in subsections (3) and (4) of this section.

SECTION 4. In Colorado Revised Statutes, 39-22-301, **amend** (1)(d)(I)(K) and **add** (1)(d)(I)(L) as follows:

39-22-301. Corporate tax imposed – repeal. (1)(d)(I)(K). Except as otherwise provided in section 39-22-627, for income tax years commencing on or after January 1, 2022, but before January 1, 2027, four and forty one-hundredths percent of the Colorado net income.

(1)(d)(I)(L) Except as otherwise provided in section 39-22-627, for income tax years commencing on or after January 1, 2027, a graduated tax is imposed on Colorado net income, as determined under this section, of every domestic C corporation, foreign C corporation, and combined group, as defined in section 39-22-303(12)(a.3), doing business in Colorado annually in an amount of the net income of such C corporation during the year derived from sources within Colorado as set forth in the following schedule of rates, as follows:

(i) for Colorado net income less than or equal to twenty five thousand dollars, the tax is three and seventy one-hundredths percent;

(ii) For Colorado net income greater than twenty five thousand dollars but less than or equal to one hundred thousand dollars, the tax is (I) three and seventy one-hundredths percent on the amount up to and including twenty five thousand dollars and (II) four and twenty one-hundredths percent on the amount greater than twenty five thousand dollars but less than or equal to one hundred thousand dollars;

(iii) For Colorado net income greater than one hundred thousand dollars but less than or equal to five hundred thousand dollars, the tax is (I) three and seventy one-hundredths percent on the amount up to and including twenty five thousand dollars, (II) four and twenty one-hundredths percent on the amount greater than twenty five thousand dollars but less than or equal to one hundred thousand dollars, and (III) four and forty one-hundredths percent on the amount greater than one hundred thousand dollars;

(iv) For Colorado net income greater than five hundred thousand dollars but less than or equal to seven hundred fifty thousand dollars, the tax is (I) three and seventy one-hundredths percent on the amount up to and including twenty five thousand dollars, (II) four and twenty one-hundredths percent on the amount greater than twenty five thousand dollars but less than or equal to one hundred thousand dollars, (III) four and forty one-hundredths percent on the amount greater than one hundred thousand dollars but less than or equal to five hundred thousand dollars, and (IV) seven and forty one-hundredths percent on the amount greater than five hundred thousand dollars;

(v) For Colorado net income greater than seven hundred fifty thousand dollars but less than or equal to one million dollars, the tax is (I) three and seventy one-hundredths percent on the amount up to and including twenty five thousand dollars, (II) four and twenty one-hundredths percent on the amount greater than twenty five thousand dollars but less than or equal to one hundred thousand dollars, (III) four and forty one-hundredths percent on the amount greater than one hundred thousand dollars but less than or equal to five hundred thousand dollars, (IV) seven and forty one-hundredths percent on the amount over five hundred thousand dollars but less than or equal to seven hundred fifty thousand dollars, and (V) seven and ninety one-hundredths percent on the amount over seven hundred fifty thousand dollars; and
(vi) For Colorado net income greater than one million dollars, the tax is (I) three and seventy one-hundredths percent on the amount up to and including twenty five thousand dollars, (II) four and twenty one-hundredths percent on the amount greater than twenty five thousand dollars but less than or equal to one hundred thousand dollars, (III) four and forty one-hundredths percent on the amount greater than one hundred thousand dollars but less than or equal to five hundred thousand dollars, (IV) seven and forty one-hundredths percent on the amount greater than five hundred thousand dollars but less than or equal to seven hundred fifty thousand dollars, (V) seven and ninety one-hundredths percent on the amount greater than seven hundred fifty thousand dollars but less than or equal to one million dollars; and (VI) eight and forty one-hundredths percent on the amount greater than one million dollars.

SECTION 5. In Colorado Revised Statutes, **add** 24-77-103.3 as follows:

24-77-103.3. Voter approved revenue change – retention and use of revenue – accountability. (1) Notwithstanding any provision of law to the contrary, for each state fiscal year commencing on or after January 1, 2026, all revenue collected under the income tax rates established by section 39-22-104(1.8) and section 39-22-301(1)(d)(I)(L) in excess of the revenue that would be generated in any such state fiscal year by applying the income tax rate that existed as of December 31, 2026 ("excess revenue"), shall constitute a voter approved revenue change under section 20(7)(d) of article X of the Colorado constitution, and may be collected, kept, and spent notwithstanding any other limits in subsection (20)(7)(d).
(2) For purposes of administering the dedication of the excess revenue specified in subsection (1) of this section, there is hereby created in the general fund the Colorado Future's account, which shall consist of an amount of moneys equal to the amount of the excess revenue specified in subsection (1) of this section. The moneys in the account shall be appropriated or transferred by the general assembly for the following programs and purposes and must supplement and not supplant current levels of appropriations thereto:
(a) K-12 Public school education, including:
(I) Improving kindergarten through 12th grade;
(II) Increasing access to career and technical education programs;
(III) Increasing teacher pay;
(b) Health care, including:
(I) Programs to help families afford health care;
(II) Replacing medicaid funding lost due to recent federal legislation, and paying for implementation of new federal requirements;
(III) Increasing funding for primary care, behavioral health and rural health care;
(IV) Supporting health care, long-term care, and other supports for older adults and people with disabilities;
(V) Programs that increase access to nutritious food; and
(c) Early child care and education, including:
(I) Programs to help families afford child care;
(II) Increasing pay and support for the child care workforce;
(III) Improving access to high-quality early childhood education programs;
(3)(a) For each fiscal year commencing on or after January 1, 2026, that the state receives excess revenue as defined in subsection (1) of this section, the director of research of the nonpartisan staff of the legislative council shall prepare a report, to be transmitted to the general assembly and made publicly available and easily accessible on or via a link from the general assembly's website, specifying the uses to which such revenue has been appropriated or transferred and to ensure that such revenue is appropriated, transferred, and spent, as directed by the people of Colorado, in accordance with this section. the office of the state auditor shall annually audit the report, which must at a minimum contain the following information:
(I)the amount of such excess revenue; and
(II)a specification and description of the amounts, programs and purposes to which such revenue has been allocated and appropriated or transferred.
(b) the report shall include a plain language summary and, where possible, easily understandable visualizations of this information, and shall be made reasonably available in other formats when requested.